

Ticker: SKE CN	3Q25 cash+raise: C\$245m	Project: Eskay Creek
Market cap: C\$4.2bn	Price: C\$34.49/sh	Country: Canada, BC
REC. (unc): BUY	TARGET (+\$14.30): C\$37.80/sh	RISK RATING (unc): HIGH

Today's news of the Tahltan Nation approving the proposed IBA is a key de-risking catalyst in our view. Given the community backing on the 'rate-determining-step' for project permitting, we expect a positive outcome on next month's Tahltan Central Government Board's formal consent decision, which should give way to final 'EAC' approvals and 'major mines' permits in a matter of months given previously communicated timelines. Better still, early works activities continue to progress well with an estimated ~45% completion expected by YE25. As per the recent quarterly, this includes completion of a fully enclosed warehouse building in addition to advancing quarry mining for construction rock, haul roads, water management infrastructure (incl. ponds and diversions, and the first stage of the water treatment plant), permanent camp, and the Volcano Creek substation/69kV overhead power line to site. Detailed engineering is ongoing with procurement of long-lead items well advanced (incl. structural steel, SAG/ball mills, tertiary/regrind mills, conveyors, floatation cells, transformers, electrical rooms and ancillary process equipment). **Bottom line – once final permits are received, full construction is positioned to 'spring board' into motion.** As such, we update our model for 3Q25 cash, recent raise, and lift our 0.6xNAV multiple to 0.85xNAV to reflect today's de-risking catalyst and looking to the final permitting milestones ahead to refine our estimates. As such, **we maintain our BUY rating and lift our price target to C\$37.80 (+C\$14.30)** based on 0.85x NAV5%-3,000 for the group including a nominal US\$75/oz for Snip—putting the stock at ~0.48xNAV at spot. Eskay remains among the select few assets of scale in Canada approaching an FID by SCPe 2026, hence securing final permits in the near-term is a major catalyst in our view and critical to stock performance. Beyond that, upside comes from a strong precious metal environment (DFS based on 1,700/oz Au & 19.00/oz Ag vs spot 4,300/oz Au & US\$64.51/oz Ag), bringing Snip into development plans (823koz @ 9.35g/t indicated UG resource), and other low-hanging technical improvements (e.g. concentrate payabilities / pit slopes).

Tahltan Nation vote in favour of proposed IBA providing line of sight on EAC and mines permits

Today, Skeena announced that the Tahltan Nation has voted in support of the proposed Impact Benefit Agreement (IBA) for the Eskay Gold and Silver Project. The IBA provides employment and business opportunities, training and education initiatives, funding for an elders' facility, and financial participation for the Tahltan Nation. A final consent decision from the Tahltan Central Government Board of Directors is expected in January 2026.

Why we like Skeena

1. Eskay pitiable 4.6Moz @ 3.6g/t P&P / 324koz pa LOM @ US\$684/oz AISC 3Q23 DFS
2. Tahltan Nation support with IBA approval
3. Scarcity value on 'build ready' assets of scale in Canada
4. Snip (823koz @ 9.35g/t indicated UG resource) upside

Catalysts

1. SCPe 1H26: EAC
2. SCPe 1H26: Major mines permits
3. 2026: project execution / construction progress update

Research

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Ticker: SKE CN	Price / mkt cap: C\$34.49/sh, C\$4174n	Project PNAV today: 0.78x	Asset: Eskay Creek / Snip
Author: B Gaspar	Rec / 0.85xNAV PT: BUY, C\$37.8/sh	1xNAV ₂₀₂₅ FF FD: C\$44.46/sh	Country: Canada: BC

Commodity price	CY25E	CY26E	CY27E	CY28E	CY29E
Gold price	2,387	3,252	3,258	3,043	3,000

SOTP project valuation*

	C\$m	O/ship	NAVx	C\$/sh
Ungeared proj. @ 4Q25	5,836	100%	1.00x	44.66
Cash 3Q25 + Raise	245	100%	1.00x	1.87
Cash from options	70	100%	1.00x	0.53
G&A and finance costs (C\$m)	(302)	100%	1.00x	(2.31)
Snip (US\$75/oz)	99	100%	1.00x	0.76
Asset NAV5% C\$3000/oz	5,947			45.5

*Shares diluted for options and mine build

Market P/NAV 0.76x

Share data

Basic shares (m)	121.0	FD with build equity raise	130.7
FD with options (m)	130.7		

Asset value: 1xNPV project @ build start (C\$m, ungeared)*

Project NPV (C\$m)*	\$2500oz	\$3000oz	\$3500oz	\$4000oz	\$4500oz
10.0% discount	3,459	4,537	5,615	6,693	7,772
7.5% discount	3,912	5,132	6,351	7,571	8,792
5.0% discount	4,446	5,836	6,955	8,308	9,660
Ungeared project IRR:	0%	0%	0%	0%	0%

Project NPV (C\$/sh)*

	\$2500oz	\$3000oz	\$3500oz	\$4000oz	\$4500oz
10.0% discount	26.47	34.72	42.97	51.22	59.48
7.5% discount	29.94	39.27	48.61	57.94	67.28
5.0% discount	34.03	44.66	55.30	65.94	76.58

*Project level NPV, excl finance costs and central SG&A, discounted to build start

Group valuation over time^

	Dec-25	Dec-26	Dec-27	Dec-28	Dec-29
Eskay Creek (C\$m)	5,836	6,455	6,476	5,660	4,892
Net cash prior qtr (C\$m)	107	(137)	262	1,367	2,406
G&A and finance costs (C\$m)	(302)	(256)	(189)	(135)	(96)
Cash from options (C\$m)	70	70	70	70	70
Snip	99	99	99	99	99
NAV FF FD (C\$m)	5,809	6,231	6,717	7,061	7,371
1xNAV _{5%} /sh FF FD (C\$/sh)	44.46*	47.69*	51.41*	54.04*	56.41*

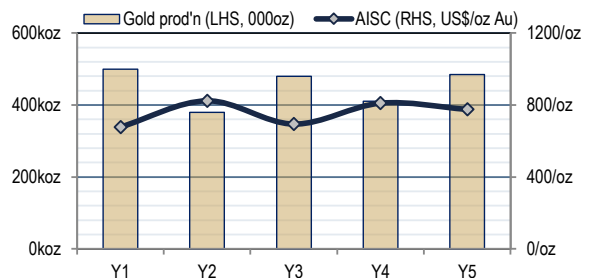
Geared company 1xNAV when in production

1xNAV FF FD (C\$/sh)*	\$2500oz	\$3000oz	\$3500oz	\$4000oz	\$4500oz
10.0% discount	4,516	5,822	7,129	8,436	9,744
7.5% discount	4,827	6,239	7,652	9,065	10,478
5.0% discount	5,181	6,717	8,254	9,791	11,328
Geared project IRR:	0%	0%	0%	0%	0%
1xNAV FF FD (C\$/sh)*	\$2500oz	\$3000oz	\$3500oz	\$4000oz	\$4500oz
10.0% discount	34.56	44.56	54.56	64.57	74.57
7.5% discount	36.94	47.75	58.56	69.38	80.19
5.0% discount	39.65	51.4	63.17	74.93	86.70

^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity

Production	Y1	Y2	Y3	Y4	Y5
Gold production (000oz)	500	380	480	410	485
C1 cost (US\$/oz)	592	711	605	685	673
AISC cost (US\$/oz)	677	823	693	810	775

AISC = C1 + ug sustaining capex, Y1 = 12M to Mar 2027



Source: SCP estimates

Resources	AuEq (koz)	AuEq (g/t)
Pittable resource	5631koz	3.46g/t
Underground resource	393koz	5.86g/t
Snip	937koz	9.00g/t

Funding: uses

Funding: uses	Funding: sources
SCPe remaining build capex	Cash + ITM options
SCPe G&A to 1st Au	Orion Debt
SCPe pre-production expl'n	Orion Stream
SCPe finance costs + wkg cap to Y1	Orion over-run
Total uses	Build Equity
	Total proceeds

*Cash from options expiring pre first pour

Buffer C\$178m

Ratio analysis

	CY25E	CY26E	CY27E	CY28E	CY29E
Average shares out (m)	114.7	121.0	121.0	121.0	121.0
EPS (C\$/sh)	-	-	7.38	7.90	9.02
CFPS (C\$/sh)	-	-	5.78	8.63	9.48
EV (C\$m)	3,861.9	4,405.0	3,660.5	2,642.8	1,524.8
FCF yield (%)	-	-	17%	25%	27%
PER (x)	-	-	4.7x	4.4x	3.8x
P/CF (x)	-	-	6.0x	4.0x	3.6x
EV/EBITDA (x)	-	-	2.7x	1.8x	0.9x

Income statement

	CY25E	CY26E	CY27E	CY28E	CY29E
Net revenue (C\$m)	-	-	1,594.2	1,732.4	1,922.5
Gross profit (C\$m)	-	-	1,418.2	1,505.7	1,692.7

Cash flow, attrib.

	CY25E	CY26E	CY27E	CY28E	CY29E
D&A, attrib (C\$m)	0.6	-	90.4	103.1	121.1
Admin (C\$m)	40.0	23.2	10.0	10.0	10.0
Expensed exploration (C\$m)	8.7	3.0	-	-	-
Finance cost (C\$m)	0.5	46.5	62.5	47.4	30.1
Royalty (C\$m)	-	-	46.2	50.1	55.7
Forex, other (C\$m)	(39.8)	2.1	-	-	-
Taxes (C\$m)	3.5	-	315.5	338.8	384.2
Net income (C\$m)	(13.5)	(74.8)	893.6	956.4	1,091.6

Cash flow, attrib.

	CY25E	CY26E	CY27E	CY28E	CY29E
EBIT (C\$m)	(9.5)	(28.3)	1,271.6	1,342.6	1,506.0
Add back D&A (C\$m)	0.6	-	90.4	103.1	121.1
Less tax + net interest (C\$m)	3.9	46.5	378.0	386.1	414.3
Net change in wkg cap (C\$m)	(36.8)	-	(172.8)	27.2	(22.7)
Add back other non-cash (C\$m)	90.7	-	-	-	-

Cash flow ops (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
PP&E - build + sust. (C\$m)	(294.4)	(317.7)	(111.1)	(42.3)	(42.3)
PP&E - expl'n (C\$m)	-	-	-	-	-
Cash flow inv. (C\$m)	(294.4)	(317.7)	(111.1)	(42.3)	(42.3)

Share issue (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Share issue (C\$m)	232.0	-	-	-	-

Proceeds from sale (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Proceeds from sale (C\$m)	206.9	69.0	69.0	-	-

Debt draw (repay) (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Debt draw (repay) (C\$m)	113.9	369.7	(66.7)	(131.5)	(131.5)

Cash flow fin. (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Cash flow fin. (C\$m)	552.8	438.7	2.4	(131.5)	(131.5)

Net change in cash (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
Net change in cash (C\$m)	299.5	46.3	702.4	913.0	1,016.2

EBITDA (C\$m)

	CY25E	CY26E	CY27E	CY28E	CY29E
EBITDA (C\$m)	(116.6)	(28.3)	1,337.3	1,419.0	1,597.3

Balance sheet

	CY25E	CY26E	CY27E	CY28E	CY29E
Cash (C\$m)	278.6	324.8	1,002.6	1,888.9	2,875.5
Acc rec., inv, prepaid (C\$m)	54.4	54.4	176.7	149.5	172.2
PP&E + other (C\$m)	563.5	881.2	902.0	841.1	762.4
Total assets (C\$m)	896.5	1,260.4	2,081.2	2,879.5	3,810.0
Debt (C\$m)	185.9	555.6	489.0	357.5	226.0
Accounts payable (C\$m)	63.9	63.9	13.4	13.4	13.4
Others (C\$m)	434.9	434.9	434.9	434.9	434.9
Total liabilities (C\$m)	684.7	1,054.4	937.3	805.8	674.4
Sh'hlds equity + wrnts (C\$m)	900.6	969.6	1,038.6	1,038.6	1,038.6
Retained earn'gs + rsvs (C\$m)	(688.8)	(763.6)	105.3	1,035.1	2,097.0
Liabilities + equity (C\$m)	896.5	1,260.5	2,081.2	2,879.5	3,810.0

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Summary of Recommendations as of December 2025	
BUY:	58
HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	0
NOT RATED:	0
TOTAL	58

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